CITY UNION BANK

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

Re-initiating coverage| BFSI

December 13, 2021

PURE VALUE PICK; EARNINGS TO NORMALIZE

Rating	TP (Rs)	Up/Dn (%)
BUY	**193**	**29**

Market data		
Current price	**Rs**	**150**
Market Cap (Rs.Bn)	(Rs Bn)	111
Market Cap (US$ Mn)	(US$ Mn)	1,468
Face Value	Rs	1
52 Weeks High/Low	Rs	190 / 142
Average Daily Volume	('000)	1,287
BSE Code		535755
Bloomberg		CUBK.IN

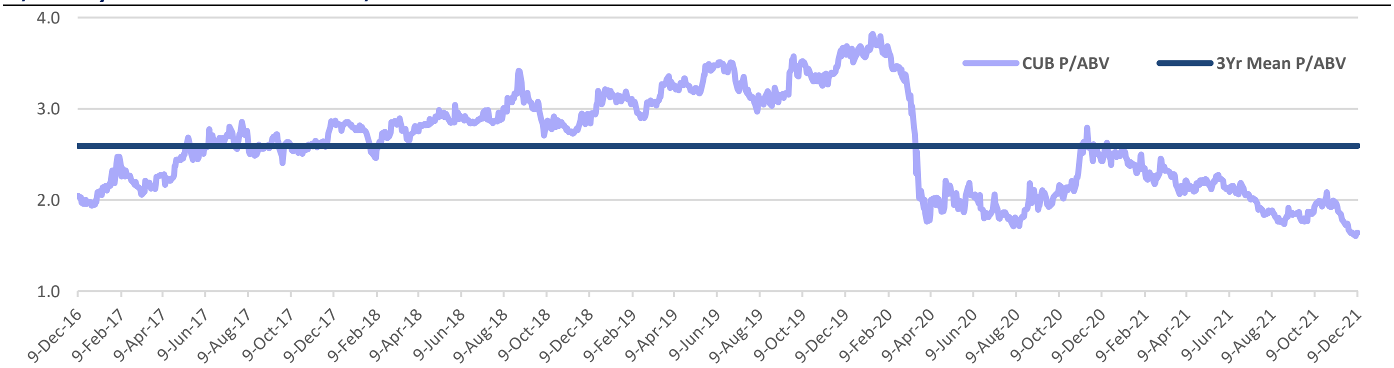
Source: Bloomberg

Across the credit cycles, City Union Bank (CUB) has remained a consistent performer in terms of margin profile (NIM above 3% for the last 10 yrs), operating efficiency (C/I ratio below 45% for the last 20 yrs) and return ratios (RoA & RoE above 1.5% & 15% for the last 12 yrs except for FY20 & FY21). At CMP, the stock trades at 1.7 times its one-year forward book value, way lower than its three-year historical average of 2.6 times and peak valuation of 3.8 times book value.

Light at the end of the tunnel; Stress peaked out

- While the stressed pool (NNPA + restructured + SR +SMA2) at ~12.4% seems on the higher side, we believe that the bank's eventual losses (LGDs) will be lower, given its proven track record in credit underwriting (Historically recovery rate at ~70-75%). Post global financial crisis (GFC), CUB had the highest proportion of loans restructured (10%) and majority of those loans survived (only 2% slipped into NPAs in successive years). Latest restructuring might be more successful than earlier restructuring cycles since the current framework is mainly applicable to those customers which had been repaying on time pre-covid.
- CUB's lending approach is mainly focused on providing small-ticket secured loans (~1:1 loan to collateral ratio) which support asset quality. Moreover, 99% of its loan book comprises secured lending, which is in percentage term one of the highest in industry. We expect the asset quality impact from the 2nd wave of Covid is almost play out and expect overall slippages to be lower in H2FY22. On the concentration risk front, Bank's share of top 20 borrowers stood at just 4.6% in FY21 vs 5%-12% for other regional banks.
- CUB is one of the best in terms of operating efficiency. Its C/I ratio stood at 42% in FY21 vs 46%-58% for midcap peers. Bank has also maintained its NIMs above 3% for over a decade across economic cycles.
- Management is cautiously optimistic and guides credit growth for FY22E to be in mid to high single-digit. If things stabilize, the bank will press the growth pedal towards the end of FY22.

P/BV 1 yr forward vs. Mean P/BV chart



Superior return matrix as compared to most of its peers across the credit cycles

RoA (%)	Axis Bk	CUB	DCB Bk	HDFC Bk	ICICI Bk	IndusInd Bk	KVB	Kotak Bk	RBL Bk	Federal Bk	Karnataka Bk
FY07	1.1	**1.5**	0.2	**1.4**	1.0	0.4	1.6	**0.9**	0.3	1.3	1.1
FY08	1.2	**1.6**	0.6	**1.4**	1.1	0.3	1.6	**1.2**	1.3	1.3	1.4
FY09	1.4	**1.5**	-1.3	**1.4**	1.0	0.6	1.5	**1.0**	1.9	1.4	1.3
FY10	1.5	**1.5**	-1.3	**1.5**	1.1	1.1	1.7	**1.7**	1.0	1.1	0.7
FY11	1.6	**1.6**	0.3	**1.6**	1.3	1.4	1.7	**1.9**	0.5	1.2	0.7
FY12	1.6	**1.7**	0.7	**1.7**	1.4	1.6	1.5	**1.9**	1.3	1.4	0.7
FY13	1.7	**1.6**	1.0	**1.8**	1.6	1.6	1.3	**1.8**	0.9	1.3	0.9
FY14	1.7	**1.4**	1.3	**1.9**	1.7	1.8	0.9	**1.8**	0.6	1.2	0.7
FY15	1.7	**1.5**	1.3	**1.9**	1.8	1.8	0.9	**1.9**	0.9	1.3	0.9
FY16	1.6	**1.5**	1.1	**1.8**	1.4	1.8	1.0	**1.4**	0.9	0.5	0.8
FY17	0.6	**1.5**	0.9	**1.8**	1.3	1.8	1.0	**1.7**	1.0	0.8	0.8
FY18	0.0	**1.6**	0.9	**1.8**	0.8	1.8	0.5	**1.7**	1.1	0.7	0.5
FY19	0.6	**1.6**	1.0	**1.8**	0.4	1.3	0.3	**1.7**	1.2	0.8	0.6
FY20	0.2	**1.0**	0.9	**1.9**	0.8	1.5	0.3	**1.8**	0.6	0.9	0.5
FY21	0.7	**1.2**	0.9	**1.9**	1.4	0.8	0.5	**1.9**	0.5	0.8	0.6

Source: Dalal & Broacha Research, Company

Small in size but great on returns…

CUB has a unique business model, which sustained better returns (RoA & RoE above 1.5% & 15% for last 12 yrs except for FY20 &FY21) across various business cycles. Bank's small size and niche positioning provide a better pricing power on the lending front leading to higher returns on its assets as well as equity employed. Bank has been able to contain its opex growth better than its peers, which is evident from its cost to income ratio (C/I ratio) at 43% in FY20 compared with 50%-74% for midcap peers. The bank has maintained its NIMs above 3% for over a decade across economic cycles.

CORE BUSINESS PERFORMANCE	FY17	FY18	FY19	FY20	FY21	FY22E	FY23E
NII/ AVG. TOTAL ASSETS	**3.6**	**3.8**	**3.8**	**3.5**	**3.6**	**3.7**	**3.8**
NON-INTEREST INCOME/ AVG. TOTAL ASSETS	1.4	1.4	1.2	1.4	1.4	1.4	1.5
OPEX/ AVG. TOTAL ASSETS	2.1	2.0	2.1	2.1	2.0	2.1	2.1
PPOP/ AVG. TOTAL ASSETS	**3.0**	**3.2**	**2.9**	**2.8**	**2.9**	**3.1**	**3.1**
PROVISIONS/ AVG. TOTAL ASSETS	0.9	1.1	0.7	1.6	1.5	1.3	1.1
RETURN ON AVG. ASSETS	**1.5**	**1.6**	**1.6**	**1.0**	**1.2**	**1.3**	**1.5**
LEVERAGE (AVG ASSETS/ AVG EQUITY)	10.1	9.7	9.5	9.4	9.3	9.1	9.0
RETURN ON EQUITY	**15.2**	**15.3**	**15.2**	**9.4**	**10.6**	**11.9**	**13.5**

Source: Dalal & Broacha Research, Company

CUB raised equity capital of Rs 3.50 Bn in FY15 and after which, the internal generation has been adequate to meet the credit growth. With a CRAR of 19.2%, of which Tier 1 is 18.2%, the bank is fairly well capitalized. Bank's share of retail deposits (retail term deposits + CASA) has been comfortably between 75-85% during the past few years, indicating stability in resources profile. **We believe the bank is capable of maintaining higher returns while continuing with its business strategy as a niche banker for small companies due to its better understanding of the southern market and high yielding working capital loans oriented business model**.

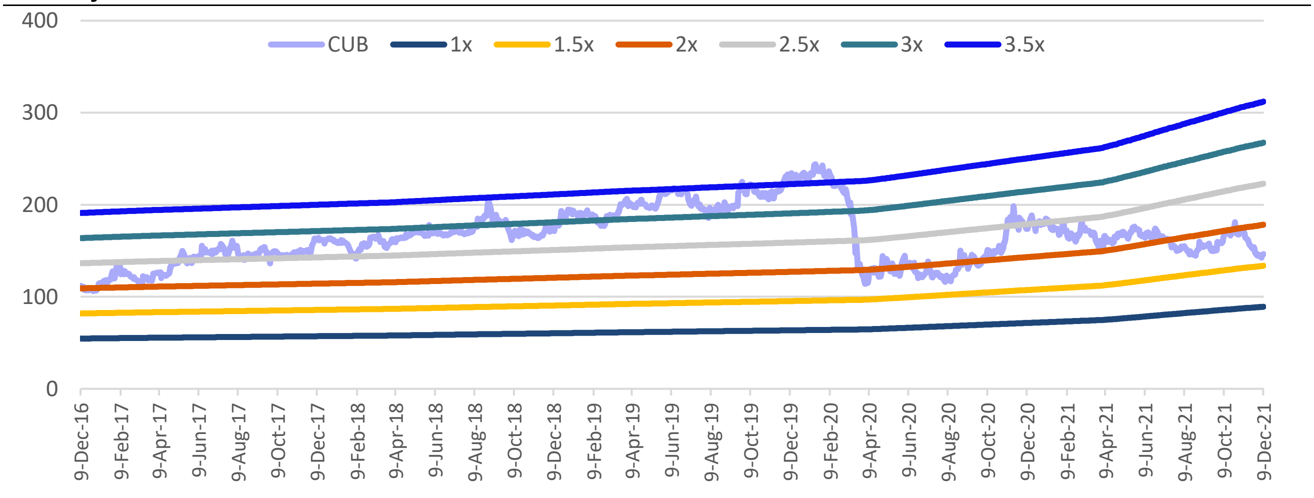
Valuation & outlook

(It's far better to buy a wonderful company at a fair price, than a fair company at a wonderful price- Warren Buffett)

With lower incremental slippages, improving loan growth and comfortable liability franchise, we believe City Union Bank is well positioned to achieve its full earnings power in the upcoming years. We expect the bank's RoA/RoE to be around 1.3%/11.9% in FY22 and recover back to 1.5%/13.5% in FY23. We also believe that the Bank is closer to the end of the NPA recognition cycle, and therefore credit cost will start coming down meaningfully over the next few quarters. Bank has all the right ingredients, which include conservative management, unparalleled lending franchise, stable margins, superior return ratios across cycles and a well-capitalized balance sheet to deliver steady performance over the years.

At the current price, the stock trades at 1.7 times its one-year forward book value, lower than its three-year historical average of 2.6 times and peak valuation of 3.8 times book value. We assign a BUY rating with a Target Price of Rs 193/share, valuing the stock at a target multiple of 2.2x FY22E ABV.

P/BV 1 yr forward chart



Source: Dalal & Broacha Research, Company

Outperform Most of the Regional Peers

RoE (%)	FY15	FY16	FY17	FY18	FY19	FY20	FY21
Federal Bk	13.7	6.0	9.8	8.3	9.8	11.1	10.4
DCB Bk	13.9	11.5	10.0	9.8	11.0	10.3	9.4
CUB	**16.3**	**15.5**	**15.2**	**15.3**	**15.2**	**9.4**	**10.6**
Karur Vysya Bk	12.0	12.9	12.6	6.1	3.3	3.6	5.3
Karnataka Bk	14.0	11.7	10.2	6.2	8.5	7.3	7.7
RBL Bk	9.8	11.2	12.2	11.5	12.2	5.6	4.4
Average (%)	**13.3**	**11.5**	**11.7**	**9.5**	**10.0**	**7.9**	**7.9**

Generate higher ROE than most of its regional Peers, over a long period of time under different circumstances.

We expect RoE to improve to 14% by FY23E due to normalization of credit cost over the next 2-3 quarters & strong business efficiency.

NIM (%)	FY15	FY16	FY17	FY18	FY19	FY20	FY21
Federal Bk	3.2	3.0	3.1	3.0	2.9	2.9	3.1
DCB Bk	3.7	3.7	3.9	3.8	3.6	3.6	3.5
CUB	**3.2**	**3.4**	**3.7**	**4.0**	**3.9**	**3.7**	**3.7**
Karur Vysya Bk	2.9	3.3	3.6	3.7	3.6	3.5	3.4
Karnataka Bk	2.5	2.6	2.6	2.9	2.7	2.7	2.8
RBL Bk	2.5	2.5	2.9	3.3	3.7	4.5	4.2
Average (%)	**3.0**	**3.1**	**3.3**	**3.4**	**3.4**	**3.5**	**3.4**

Better NIM than most regional banking peers, supported by high-yielding loans & efficient deployment of funds.

PPOP/Avg assets (%)	FY15	FY16	FY17	FY18	FY19	FY20	FY21
Federal Bk	2.1	1.6	1.8	1.8	1.9	1.9	2.0
DCB Bk	1.9	2.0	1.9	1.9	2.0	2.0	2.3
CUB	**2.6**	**2.8**	**3.0**	**3.2**	**2.9**	**2.8**	**2.9**
Karur Vysya Bk	1.8	2.3	2.6	2.8	2.5	2.6	2.0
Karnataka Bk	1.6	1.6	1.7	2.2	1.9	2.0	2.4
RBL Bk	1.6	1.6	2.1	2.4	2.7	3.2	3.3
Average (%)	**1.9**	**2.0**	**2.2**	**2.4**	**2.3**	**2.4**	**2.5**

Healthy NIMs along with stable operating costs have helped the bank to maintain superior operating performance.

Cost to Income Ratio (%)	FY15	FY16	FY17	FY18	FY19	FY20	FY21
Federal Bk	50.0	56.7	53.4	51.7	50.0	51.3	49.4
DCB Bk	58.8	58.4	60.0	59.8	56.9	54.5	48.5
CUB	**42.8**	**40.1**	**40.9**	**38.5**	**41.7**	**43.0**	**41.5**
Karur Vysya Bk	53.9	47.6	45.0	44.4	48.6	49.7	58.2
Karnataka Bk	53.9	53.7	56.7	47.6	50.1	49.7	45.6
RBL Bk	62.5	58.6	53.4	53.0	51.3	51.0	47.1
Average (%)	**53.7**	**52.5**	**51.6**	**49.2**	**49.8**	**49.9**	**48.4**

CUB is one of the best in terms of operating efficiency

Operating Costs to Assets (%)	FY15	FY16	FY17	FY18	FY19	FY20	FY21
Federal Bk	2.0	2.0	1.9	1.8	1.7	1.9	1.8
DCB Bk	2.5	2.6	2.6	2.6	2.4	2.3	2.1
CUB	**1.9**	**1.8**	**2.0**	**1.9**	**2.0**	**2.0**	**2.0**
Karur Vysya Bk	2.1	2.0	2.1	2.1	2.3	2.6	2.7
Karnataka Bk	1.7	1.8	2.0	1.9	1.8	2.0	2.0
RBL Bk	2.2	2.0	2.2	2.4	2.5	3.2	2.7
Average (%)	**2.1**	**2.0**	**2.1**	**2.1**	**2.1**	**2.3**	**2.2**

Source: Dalal & Broacha Research, Company

Bank's better opex control was supported by its (1) intelligent HR strategy working to keep a young, efficient workforce (2) a contained, focused branch expansion strategy and (3) strong traction for digital

OUTPERFORM MOST OF THE REGIONAL PEERS

GNPA (%)	FY15	FY16	FY17	FY18	FY19	FY20	FY21
Federal Bk	2.0	2.8	2.3	3.0	2.9	2.8	3.4
DCB Bk	1.8	1.5	1.6	1.8	1.8	2.5	4.1
CUB	**1.9**	**2.4**	**2.8**	**3.0**	**3.0**	**4.1**	**5.1**
Karur Vysya Bk	1.9	1.3	3.6	6.6	8.8	8.7	7.9
Karnataka Bk	3.0	3.4	4.2	4.9	4.4	4.8	4.9
RBL Bk	0.8	1.0	1.2	1.4	1.4	3.6	4.3
Average (%)	**1.9**	**2.1**	**2.6**	**3.5**	**3.7**	**4.4**	**5.0**

Strong recovery and proven credit underwriting to keep asset quality under check

Bank is in a better position than most of its Peers as its unsecured book is below 1% v/s up to 15% or more for regional peers.

NNPA (%)	FY15	FY16	FY17	FY18	FY19	FY20	FY21
Federal Bk	0.7	1.6	1.3	1.7	1.5	1.3	1.2
DCB Bk	1.0	0.8	0.8	0.7	0.7	1.2	2.3
CUB	**1.3**	**1.5**	**1.7**	**1.7**	**1.8**	**2.3**	**4.1**
Karur Vysya Bk	0.7	0.6	2.5	4.2	5.0	3.9	3.4
Karnataka Bk	2.0	2.4	2.6	3.0	3.0	3.1	3.2
RBL Bk	0.3	0.6	0.6	0.8	0.7	2.1	2.1
Average (%)	**1.0**	**1.2**	**1.6**	**2.0**	**2.1**	**2.3**	**2.7**

Bank has exhibited superior asset quality in the past due to its better understanding of the demography (South) and credit culture, small ticket size and lower LTV.

PCR (%)	FY15	FY16	FY17	FY18	FY19	FY20	FY21
Federal Bk	64.7	43.0	45.5	44.5	50.1	54.5	65.9
DCB Bk	43.2	50.6	51.1	60.2	65.0	53.5	45.2
CUB	**30.7**	**36.9**	**40.1**	**44.6**	**39.5**	**44.9**	**43.2**
Karur Vysya Bk	58.5	57.7	30.4	38.2	45.6	57.1	58.5
Karnataka Bk	34.0	32.6	38.4	41.1	34.2	37.3	36.6
RBL Bk	65.3	40.2	46.8	44.8	50.6	44.3	52.3
Average (%)	**49.4**	**43.5**	**42.0**	**45.6**	**47.5**	**48.6**	**50.3**

Bank maintains lower PCR compared to the industry's average mainly due to its proven track record of higher recoveries from overdue or written-off accounts.

Slippages (%)	FY15	FY16	FY17	FY18	FY19	FY20	FY21
Federal Bk	1.7	3.5	1.6	2.7	1.6	1.7	1.5
DCB Bk	1.9	1.9	1.8	1.9	1.9	2.7	2.7
CUB	**2.5**	**2.2**	**2.1**	**2.2**	**2.1**	**3.3**	**3.2**
Karur Vysya Bk	1.8	3.0	3.3	4.9	5.0	3.4	2.0
Karnataka Bk	3.1	3.4	3.8	5.0	2.8	3.6	2.5
RBL Bk	0.4	1.1	2.1	1.6	1.5	6.0	5.4
Average (%)	**1.9**	**2.5**	**2.5**	**3.1**	**2.5**	**3.4**	**2.9**

We expect the asset quality impact from the 2nd wave of Covid is almost play out and expect overall slippages to be lower in H2FY22.

Credit costs (%)	FY15	FY16	FY17	FY18	FY19	FY20	FY21
Federal Bk	0.2	1.3	0.9	1.1	0.8	1.0	1.3
DCB Bk	0.7	0.8	0.8	0.8	0.6	1.1	1.7
CUB	**1.1**	**1.2**	**1.3**	**1.6**	**1.0**	**2.3**	**2.3**
Karur Vysya Bk	1.4	1.0	1.7	3.0	3.0	3.1	1.9
Karnataka Bk	0.7	1.0	1.5	2.8	1.6	2.0	2.6
RBL Bk	0.5	0.6	0.9	1.0	1.4	3.5	4.1
Average (%)	**0.8**	**1.0**	**1.2**	**1.7**	**1.4**	**2.2**	**2.3**

Source: Dalal & Broacha Research, Company

Bank's management has kept a fine balance between risk & returns by keeping stringent underwriting standards where all asset quality risks are priced in at higher yields.

Light at the end of the tunnel; Stress peaked out

As the economy gains momentum, we expect normalization of collections and recovery processes to aid asset quality improvement in H2FY22.

- Bank's asset quality stood at the guided path with GNPA/ NNPA stood at 5.58%/3.48% in Q2FY22. As the economy gains momentum, we expect normalization of collections and recovery processes to aid asset quality improvement in H2FY22.
- Gross NPA additions amounted to Rs 2974mn for the quarter, translating to an annualized slippage ratio of 3.2% vs 5.4% QoQ, while write-offs stood at Rs 860 Mn (vs Rs 2578 Mn QoQ), and recoveries & upgrades stood at ~Rs 1275 Mn (vs Rs 822 Mn QoQ) in Q2FY22.
- CUB's restructured book stood at Rs 22.48 Bn which is 5.9% of gross advances (compared to 5.5% QoQ). ~20% to 25% of the restructures may slip in NPAs over a period of the next two to three years. However, we strongly believe that overall credit loss will be relatively lower as loans are mostly secured.

Bank holds a standard account provision on restructured accounts to the tune of Rs.1.67 Bn and Rs.0.46 Bn towards erosion on fair value of accounts.

- Bank holds a standard account provision on restructured accounts to the tune of Rs.1.67 Bn and Rs.0.46 Bn towards erosion on fair value of accounts.
- Even though NPA level looks elevated, we expect minimum risk as 99% of total lending is secured in nature which helps in easy recovery. Historically, bank's LGD has been maintained at <30%.

Even though NPA level looks elevated, we expect minimum risk as 99% of total lending are secured in nature which helps in easy recovery.

- Post GFC, CUB had the highest proportion of loans restructured (10%) and majority of those loans survived (only 2% slipped into NPAs in successive years). Latest restructuring can be more successful compared to earlier restructuring cycles since the current framework is applicable mostly to those businesses which had been repaying on time pre-covid.
- Bank has built its business model on a prudent lending philosophy, which emphasised on granular nature of advances, high level of collateralization and greater focus on working capital facilities (over 2/3 of advances).
- While small ticket size mitigates concentration risk with no single large account turning into NPA, secured lending ensures paring of losses in case of default as the bank maintains ~1:1 loan to collateral ratio

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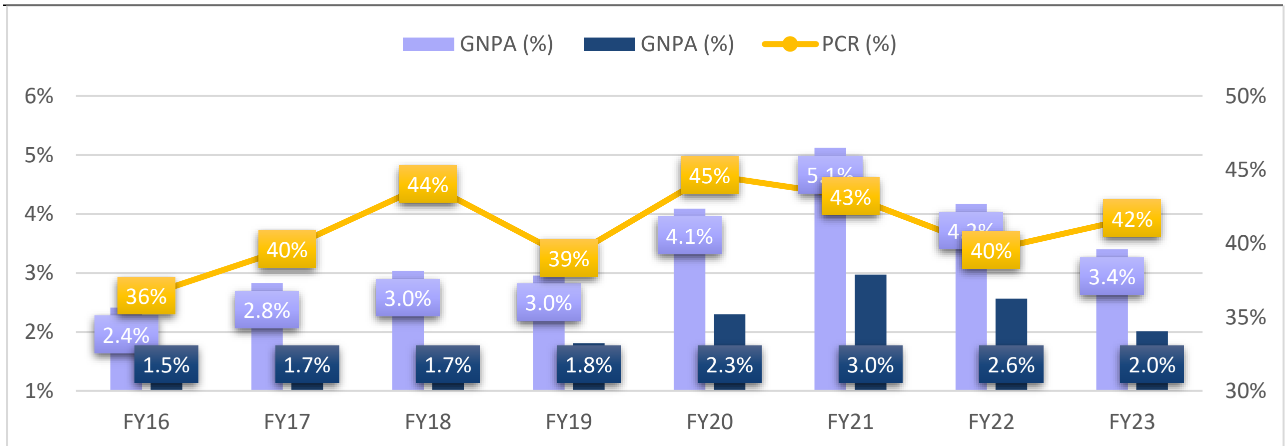
Asset quality movement



Source: Dalal & Broacha Research, Company

STATUS OF ECLGS ACCOUNTS OVER THE PERIOD

- City Union Bank has an outstanding of ~Rs19.4 Bn under ECLGS (~5% of total advances). Overall ECLGS started tapering off with 800 borrowers closed their ECLGS accounts over a period of time, indicating good quality borrowers who have repaid despite moratorium.
- Out of the closed 800 borrowers, ~ 720 borrowers closed with in a period of 1 year though they have 5 years to close the account including holiday period.

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Quarter - ECLGS Availed (Rs MN)	No. of borrowers	ECLGS Jun-20	No. of borrowers	ECLGS Sep-20	No. of borrowers	ECLGS Dec-20	No. of borrowers	ECLGS Mar-21	No. of borrowers	ECLGS Jun-21	No. of borrowers	ECLGS Sep-21	No. of borrowers closed ECLGS
Jun-20	3780	6747	3640	6822	3567	6730	3552	6692	3514	6533	3404	6147	376
Sep-20			3927	8379	3853	8292	3775	8007	3713	7859	3583	7582	344
Dec-20					979	2991	965	2985	943	2968	916	2905	63
Mar-21							244	1918	242	1973	232	2101	12
Jun-21									43	171	38	84	5
Sep-21											90	556	
Total	3780	6747	7567	15201	8399	18014	8536	19601	8455	19505	8263	19375	800

Source: Dalal & Broacha Research, Company

- ECLGS are given only to those accounts which had satisfactory cash flow and proper track record during pre-COVID days and had temporary cash flow mismatches because of the COVID lockdowns. Outstanding ECLGS amount stood at Rs 19.4 Bn (~8,200 borrowers/ ~5% of gross loans).

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Movement of ECLGS Loan Availed & Its Funded Exposure

Quarter - ECLGS Availed (Rs MN)	ECLGS Op Bal	Funded Exposure of accounts those availed Jun-20	Sep-20	Dec-20	Mar-21	Jun-21	Sep-21	Reduction in Exposure
Jun-20	6747	47572	47249	46768	45956	45045	43671	3900
Sep-20	8379		57070	55971	54960	53947	52630	4440
Dec-20	2991			21678	21723	21400	20351	1327
Mar-21	1918				15827	15806	15453	374
Jun-21	171					1442	1422	20
Sep-21	556						5359	

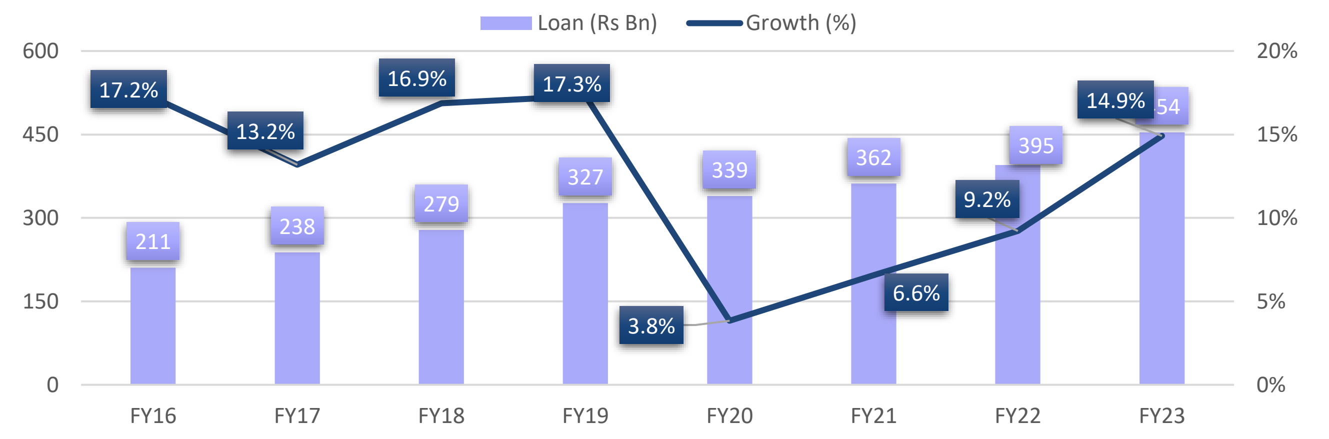
Source: Dalal & Broacha Research, Company

Conservative approach towards lending

(Growth to the pickup pace from Q4FY22)

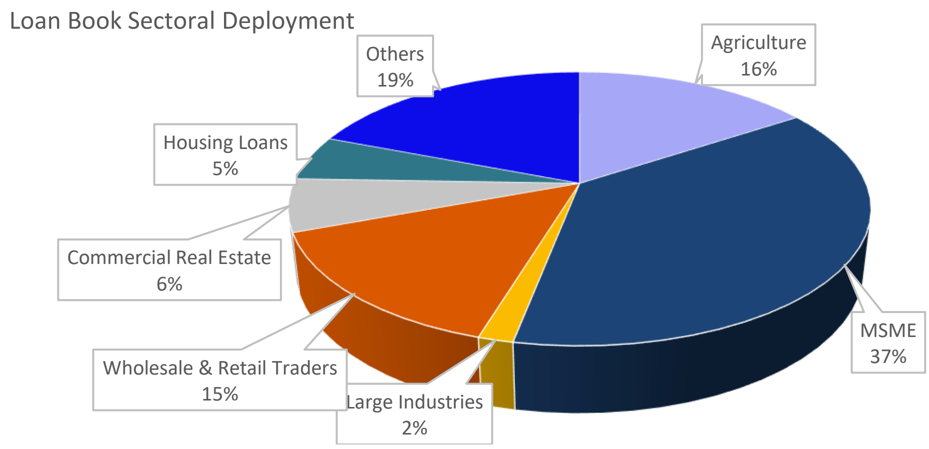
- Over FY06-13, CUBK delivered 29% CAGR in loans maintaining ~60% average lending through working capital and the rest comprised term loans. Post that growth has moderated to 15% CAGR over FY14-FY19 due to slowdown in economic activates, drought conditions in parts of South India and disruptions caused by demonetization and roll-out of GST
- Bank follows a conservative approach, which sacrifices balance sheet growth to an extent, but lends comfort as far as underlying asset quality is concerned. CUB's advances growth stood 7.3% YoY (up 4.4% QoQ) to Rs 380bn, which was primarily driven by gold loans (+73% YoY/14% QoQ) in Q2FY22.
- Bank has focused on remaining the sole banker or part of small group of banks (maybe two-three banks); maintaining low ticket sizes and stringent collateralization in these loans. We have factored in a loan CAGR of 12% over FY21-23E.
- Management is cautiously optimistic and guides credit growth for FY22E to be in mid to high single-digit. If things stabilize, the bank will press the growth pedal towards the end of FY22.

Loan growth will pick up.....



Source: Dalal & Broacha Research, Company

Well Diversified Loan Book (Sectoral Deployment)



Source: Dalal & Broacha Research, Company

Financial

P&L (Rs Bn)	FY20	FY21	FY22	FY23
Interest income	41.7	41.3	45.1	51.7
Interest expense	24.9	23.1	24.3	28.0
NII	**16.8**	**18.3**	**20.8**	**23.7**
Non-interest income	6.8	7.0	8.0	9.2
Net revenues	**23.6**	**25.3**	**28.9**	**32.9**
Operating expenses	10.1	10.5	11.7	13.2
PPOP	**13.4**	**14.8**	**17.2**	**19.7**
Provisions	7.6	7.9	7.3	7.1
PBT	**5.9**	**6.9**	**9.9**	**12.6**
Tax	1.1	1.0	2.5	3.2
PAT	**4.8**	**5.9**	**7.4**	**9.4**
Balance sheet	**FY20**	**FY21**	**FY22**	**FY23**
Share capital	0.7	0.7	0.7	0.7
Reserves & surplus	52	58	65	73
Net worth	**53**	**58**	**65**	**74**
Deposits	408	445	494	565
Borrowings	20	13	12	12
Other liability	16	16	17	18
Total liabilities	**497**	**533**	**588**	**669**
Fixed assets	2	2	2	3
Investments	91	94	108	119
Loans	339	362	395	454
Cash	47	56	63	72
Other assets	17	19	19	21
Total assets	**497**	**533**	**588**	**669**

Ratios	FY20	FY21	FY22	FY23
Growth (%)				
NII	4.0	9.2	13.8	13.9
PPOP	8.2	10.6	15.9	14.5
PAT	-30.2	24.5	24.5	27.3
Advances	3.8	6.6	9.2	14.9
Deposits	6.2	9.1	10.9	14.4
Spread (%)				
Yield on Funds	9.2	8.4	8.4	8.5
Cost of Funds	6.1	5.2	5.0	5.2
Spread	3.1	3.2	3.3	3.4
NIM	3.7	3.7	3.9	3.9
Asset quality (%)				
Gross NPAs	4.1	5.1	4.2	3.4
Net NPAs	2.3	3.0	2.6	2.0
Provisions	45	43	40	42
Return ratios (%)				
RoE	9.4	10.6	11.9	13.5
RoA	1.0	1.2	1.3	1.5
Per share (Rs)				
EPS	6	8	10	13
BV	72	79	88	100
ABV	61	65	75	88
Valuation (x)				
P/E	23.1	18.6	15.0	11.8
P/BV	2.1	1.9	1.7	1.5
P/ABV	2.4	2.3	2.0	1.7

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